

Spicy investments in general are much riskier than your average ETF, however, that doesn't mean they can't fit into an investor's portfolio — although they should be approached with caution. The main concern surrounding them is that, while some have intrinsic value, most are overhyped and can lose value very quickly. It's not unheard of to have an alt coin or NFT drop 70 per cent in value in a matter of hours, and for most investors in training, that's just a bit too much, too soon.

Options, forex and day trading, on the other hand, involve much more complicated materials and theories that investors in training should understand before diving in. The time involved compared to the outcome does not make sense for investors, beginner or experienced.

Actionable steps

1. Is there a spicy investment you'd be interested in? If so, which one and why?
2. Can you think of an example of a pump and dump scheme you've seen?
3. Quiz time: What are the two points that make Ethereum different to Bitcoin?